

LOTUS VALLEY INTERNATIONAL SCHOOL, GURUGRAM

SESSION: 2026–2027

ECONOMICS PROJECT

Trade Under Pressure: India's Push for Export-Led Growth Amid US Tariffs and Rising Import Costs (2025–26)

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1. Project Overview: Purpose and Aim

This project undertakes a macroeconomic study of India's trade landscape during 2025–26, a period marked by significant disruption in global trade relations — most notably the imposition of tariffs by the United States on Indian exports, alongside sharp volatility in international crude oil prices triggered by conflict in West Asia. The project seeks to move beyond textbook description and examine how core macroeconomic concepts studied in Classes 11 and 12 — international trade, protectionism, balance of payments, exchange rate determination, elasticity, and inflation — manifest in a real, still-unfolding economic scenario.

The specific aims of this project are:

- To revisit and apply theoretical constructs of international trade, tariffs, and protectionism to a contemporary case.
- To trace the timeline and economic rationale behind the 2025–26 US tariff measures on Indian exports.
- To examine India's policy response, particularly its shift toward export diversification and diversified import sourcing (especially crude oil).
- To analyse how global oil price volatility has affected domestic prices of necessities and the broader inflation trajectory.
- To evaluate the consequent impact on India's exchange rate, balance of payments, and growth outlook.
- To arrive at an evidence-based conclusion on the resilience and vulnerabilities of the Indian economy in the face of external trade shocks.

2. Introduction

International trade has long been central to India's growth strategy, with exports contributing significantly to national income and imports — particularly crude oil — forming an unavoidable dependency given India's limited domestic energy reserves. For decades, Indian trade policy has balanced two competing objectives: opening up to global markets to capture the gains from trade, while protecting domestic industry and managing its heavy reliance on imported energy.

The year 2025–26 tested this balance sharply. The United States, India's largest single trading partner, imposed tariffs reaching as high as 50 percent on a wide range of Indian exports, citing India's continued purchase of discounted Russian crude oil following the Russia–Ukraine war. Simultaneously, conflict in West Asia pushed global crude oil prices higher and raised concerns about the stability of India's energy supply chains, at a time when the Indian rupee was already under pressure and monsoon rainfall had turned deficient — adding a domestic supply-side risk to an already complex picture.

Faced with this two-front challenge — an external demand shock through tariffs, and an external supply shock through oil prices — India's policy response has been twofold: encouraging exporters to diversify beyond the US market, and diversifying crude oil suppliers to reduce concentration risk while managing the domestic price impact of costlier energy imports. This project examines both strands of this response, using them as a live case study to apply the theoretical frameworks of international trade and macroeconomics learnt in the last two years.

3. Research Methodology

This project relies entirely on secondary data, collected from credible sources including press releases of the Reserve Bank of India (RBI) and the Government of India (Press Information Bureau), reports of international bodies such as the United Nations Department of Economic and Social Affairs (UN DESA), and reputable financial and economic news publications and trade-data aggregators tracking India's import and export statistics.

Data collection proceeded in three stages. First, information was gathered on the timeline of US tariff measures on India through 2025–26, including rates, affected sectors, and exemptions. Second, data on India's crude oil import sources, domestic inflation, and RBI monetary policy decisions was compiled to trace the 'price of necessities' angle of the study. Third, macroeconomic indicators — GDP growth forecasts, exchange rate movements, and export performance — were collected to assess the broader impact.

The material was then organised chronologically, to construct an accurate timeline of events, and thematically, grouping data under trade policy, oil prices and inflation, and macroeconomic outcomes, so that theoretical concepts could be mapped clearly onto real developments. Data is presented below using descriptive tables and is meant to be supplemented with hand-drawn diagrams and graphs illustrating the underlying theoretical mechanisms, as indicated in the relevant sections.

4. Theoretical Framework

Before analysing the real-world scenario, it is useful to revisit the key theoretical constructs from the Class 11 and 12 Economics syllabus that underpin this study.

4.1 International Trade and Comparative Advantage

Countries trade because they can produce goods at different opportunity costs. A country gains by exporting goods in which it holds a comparative advantage and importing goods in which trading partners are relatively more efficient. India has traditionally exported labour-intensive goods such as textiles and gems and jewellery, while importing capital- and technology-intensive goods, and almost all of its crude oil requirement, since domestic production meets only a small fraction of national demand.

4.2 Tariffs and Protectionism

A tariff is a tax imposed on imported goods. When an importing country's government levies a tariff, the domestic price of the imported good rises above the world price by the amount of the tariff. Using a standard demand-supply framework, as price rises, the quantity demanded of the imported good falls, exporters supply less to that market, and a deadweight loss — a loss of overall economic welfare — results as some mutually beneficial trade no longer takes place. Tariffs are generally justified on protectionist grounds — safeguarding domestic industries, correcting a trade imbalance, or, as in 2025–26, as instruments of geopolitical pressure.

4.3 Balance of Payments (BoP)

The Balance of Payments is a systematic record of a country's economic transactions with the rest of the world, comprising the current account (trade in goods and services, income, and transfers) and the capital account (investment and loan flows). A tariff-induced fall in exports worsens the current account, and so does a costlier oil import bill, since crude oil forms one of the largest single items in India's import basket.

4.4 Exchange Rate Determination

Under a market-determined (floating) exchange rate system, the rupee's value against the US dollar is determined by the demand for and supply of foreign exchange. A widening trade deficit increases the demand for dollars relative to rupees, exerting depreciating pressure on the rupee; conversely, foreign investment inflows increase the supply of dollars, supporting the rupee.

4.5 Price Elasticity of Demand and Cost-Push Inflation

The demand for necessities such as fuel is price-inelastic in the short run, since consumers have few immediate substitutes. When global crude oil prices rise, Indian consumers absorb much of the cost increase rather than reducing consumption significantly, transmitting higher input costs through the economy — a textbook case of cost-push inflation, where inflation arises from rising production costs rather than excess demand.

4.6 Export Promotion versus Import Substitution

These are two contrasting trade strategies. Export promotion aims to boost a country's competitiveness in foreign markets through diversification, incentives, or trade agreements, while import substitution aims to reduce reliance on any single import source — or, more broadly, on imports altogether — by developing domestic alternatives or diversifying suppliers. India's current strategy, as this project shows, blends both: pushing exports toward new markets while diversifying, rather than eliminating, its dependence on imported crude oil.

5. Presentation of Data

The tables below summarise the key data collected for this study. These should be supplemented with hand-drawn bar and line graphs as indicated.

Table 1: Timeline of US Tariffs on Indian Exports (2025–26)

Period	Development	Approx. Tariff Rate
Mid-2025	Baseline + reciprocal + punitive tariffs imposed, linked to India's Russian oil purchases	Up to 50%
2 Feb 2026	Bilateral trade deal announced; punitive component removed	Reduced to ~18%
Mid-2026	US court ruling alters legal basis of tariffs (Section 122); rates revised	Effective avg. ~13–15%
July 2026	Friction continues in select sectors (textiles, gems, auto parts)	Sector-specific, up to 50%

Table 2: India's CPI Inflation and RBI Repo Rate, 2026

Period	CPI Inflation (Y-o-Y)	Repo Rate
May 2026	3.93%	5.25%
June 2026	4.38%	5.25%
FY 2026–27 (RBI forecast, avg.)	~5.1%	Held steady

Table 3: India's Crude Oil Import Sources, Q1 2026

Country	Share of Import Value
Iraq	~19.9%
Russia	~17.9%
Saudi Arabia	~16.0%
UAE	~11.0%

Table 4: India's GDP Growth Forecasts, FY 2026–27

Source	Growth Forecast
RBI (original estimate)	6.9%
RBI (revised, June 2026)	6.6%
UN DESA	6.6%

6. Analysis: Applying Theory to Reality

6.1 US Tariffs on India: Trade Theory in Action

The tariff measures imposed by the United States on India through 2025–26 offer a clear illustration of protectionism used for both economic and geopolitical ends. Tariffs reaching up to 50 percent were levied on over half of India's roughly \$87 billion in annual exports to the US, explicitly linked to India's continued purchases of discounted Russian crude oil. Sectors such as textiles, gems and jewellery, and auto parts bore the brunt, while pharmaceuticals, semiconductors, energy, and critical minerals were exempted — a reminder that tariffs are rarely applied uniformly but are calibrated to specific strategic and domestic considerations.

The February 2026 bilateral trade deal, which removed the punitive component of the tariff and lowered the effective rate, illustrates the theoretical proposition that tariffs are ultimately a bargaining tool: their economic cost creates an incentive for both sides to negotiate a resolution. Yet the persistence of high effective rates in certain sectors even after the deal, and a subsequent US court ruling that altered the legal basis for the tariffs, show that real-world trade policy is far messier than a clean before-and-after diagram might suggest. The example of shrimp exports is instructive: India supplies close to 45 percent of US shrimp imports, worth around \$6 billion annually, and the tariffs pushed US shrimp prices up by 15–20 percent — a clear demonstration of tariff pass-through to the importing country's own consumers, a cost often understated in political debate over tariffs.

6.2 India's Export Diversification and the Push for Export-Led Growth

Faced with reduced competitiveness in its largest export market, India's exporters and policymakers have leaned into diversification, redirecting trade toward the European Union, the Middle East, and other partners to offset the loss of US market share. This reflects the theoretical logic of reducing 'market concentration risk': an economy reliant on a single export destination is more vulnerable to a bilateral shock — whether a tariff, a sanction, or a slowdown in that partner's economy — than one with a diversified customer base.

Despite the tariff shock, India's total merchandise exports still grew by close to 3 percent in the second half of 2025, suggesting that diversification and resilient demand elsewhere partly cushioned the loss of competitiveness in the US market. This is consistent with the theory that a well-diversified trade portfolio reduces the sensitivity of a country's total export revenue to a shock in any single market. India is also reportedly pursuing trade agreements with the European Union and other partners — a move that, in trade-theory terms, seeks to lock in preferential access and reduce the risk of future tariff volatility, essentially insuring against political risk rather than relying purely on comparative advantage to sustain competitiveness.

6.3 Import Substitution and the Economics of Oil Diversification

While 'import substitution' traditionally refers to producing domestically what was once imported, India's 2025–26 experience illustrates a related but distinct strategy: diversifying the source of an import that cannot realistically be substituted in the short run — crude oil. India imports the vast majority of its crude oil requirement, and in Q1 2026 its import basket

was led by Iraq at close to 20 percent of import value, followed closely by Russia, Saudi Arabia, and the UAE, with the Gulf region together accounting for the majority of inflows.

This diversification serves the same underlying economic purpose as classical import substitution: reducing vulnerability to disruption in any single supply relationship. With conflict in West Asia raising concerns about disruption to critical routes such as the Strait of Hormuz, India's move to source from multiple, geographically dispersed suppliers rather than concentrating imports narrowly reflects a risk-management logic drawn directly from balance-of-payments theory: a country's current account is less exposed to any single geopolitical shock when its import base is spread across suppliers whose risks are not perfectly correlated.

6.4 Rising Prices of Necessities: Oil, LPG, and the Inflation Chain

The most tangible impact of these external shocks on ordinary households is visible through prices. Because crude oil is a necessity with highly inelastic short-run demand, Indian consumers cannot easily substitute away from fuel and cooking gas even as prices rise, so increases in global crude prices pass through relatively quickly into domestic prices of petrol, diesel, and LPG, and from there into the broader cost structure of the economy through transport and input costs.

This mechanism is visible in India's 2026 inflation data. Consumer Price Index inflation, having moderated to as low as around 2 percent earlier in the year, rose to 4.38 percent in June 2026, crossing the RBI's 4 percent inflation target for the first time in nearly seventeen months. The RBI has attributed part of its upward revision of the full-year inflation forecast, to around 5.1 percent from an earlier 4.6 percent, to higher prices of LPG, base metals, plastics, and rubber — commodities closely tied to global crude oil and its derivatives. A weak monsoon, with rainfall running over 40 percent below the long-period average by late June 2026, compounds this risk by threatening agricultural output and food prices — illustrating how a supply-side shock in one sector (energy) can interact with another (agriculture) to produce a broader cost-push inflation episode, precisely the kind that monetary policy, which primarily manages demand, finds difficult to fully control.

6.5 Currency, Balance of Payments, and the Macroeconomic Outlook

The combined effect of a costlier oil import bill and tariff-constrained exports feeds directly into India's balance of payments and exchange rate. A wider trade deficit increases the demand for foreign currency relative to rupees, exerting depreciating pressure on the rupee — pressure visible through 2026, as the rupee stabilised in the first half of the year amid broad dollar weakness before coming under renewed pressure from portfolio investment outflows and trade-related uncertainty in the second half.

Yet India's macroeconomic fundamentals have so far absorbed these shocks without a severe downturn. The RBI's decision to hold its repo rate steady at 5.25 percent through mid-2026, even while revising its growth forecast for FY 2026–27 down to 6.6 percent from 6.9 percent, reflects the classic monetary-policy dilemma of balancing growth support against inflation control when facing external, supply-driven shocks rather than a purely

domestic demand problem. International agencies such as the United Nations continue to project India as the fastest-growing major economy in 2026, crediting resilient domestic consumption and sustained public investment as buffers against external shocks — a reminder that an economy less reliant on exports as a share of GDP is inherently better insulated from any single trading partner's tariff policy, even if it remains exposed to imported inflation through its energy dependence.

7. Conclusion and Key Findings

This project set out to apply theoretical constructs from the Class 11 and 12 Economics curriculum to a live, unfolding macroeconomic scenario in India during 2025–26. The findings suggest that classical trade theory continues to explain real-world outcomes well: tariffs raised prices and reduced trade volumes broadly as the standard model predicts, exchange rate movements tracked shifts in the trade balance and capital flows, and inelastic demand for oil produced a textbook case of cost-push inflation.

At the same time, the case study reveals nuances that a simplified model cannot fully capture — the political economy behind tariff design, the messiness of real-world implementation and legal challenges, and the way multiple shocks (tariffs, oil prices, a weak monsoon) can interact and compound rather than occur in isolation. India's twin strategy of export diversification and import-source diversification demonstrates a broader macroeconomic principle: resilience in an open economy comes not from insulation from global markets, but from reducing concentration risk across both trading partners and suppliers.

Overall, while India's growth has moderated and inflation has edged above target, the economy has shown considerable resilience, supported by strong domestic demand. This case study is therefore a reminder that theoretical constructs, when tested against real data, generally hold — even as real-world outcomes are shaped by factors such as geopolitics, negotiation, and timing that pure economic theory does not fully anticipate.

8. Limitations of the Study

This project relies entirely on secondary data drawn from news reports, government press releases, and international agency publications, as the events analysed were still unfolding at the time of writing (July 2026); some figures, particularly tariff rates and inflation forecasts, may therefore be revised further. The analysis is also necessarily selective, focusing on trade, oil prices, and their macroeconomic consequences, and does not capture every channel through which these shocks affect the Indian economy, such as sector-specific or state-level impacts.

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